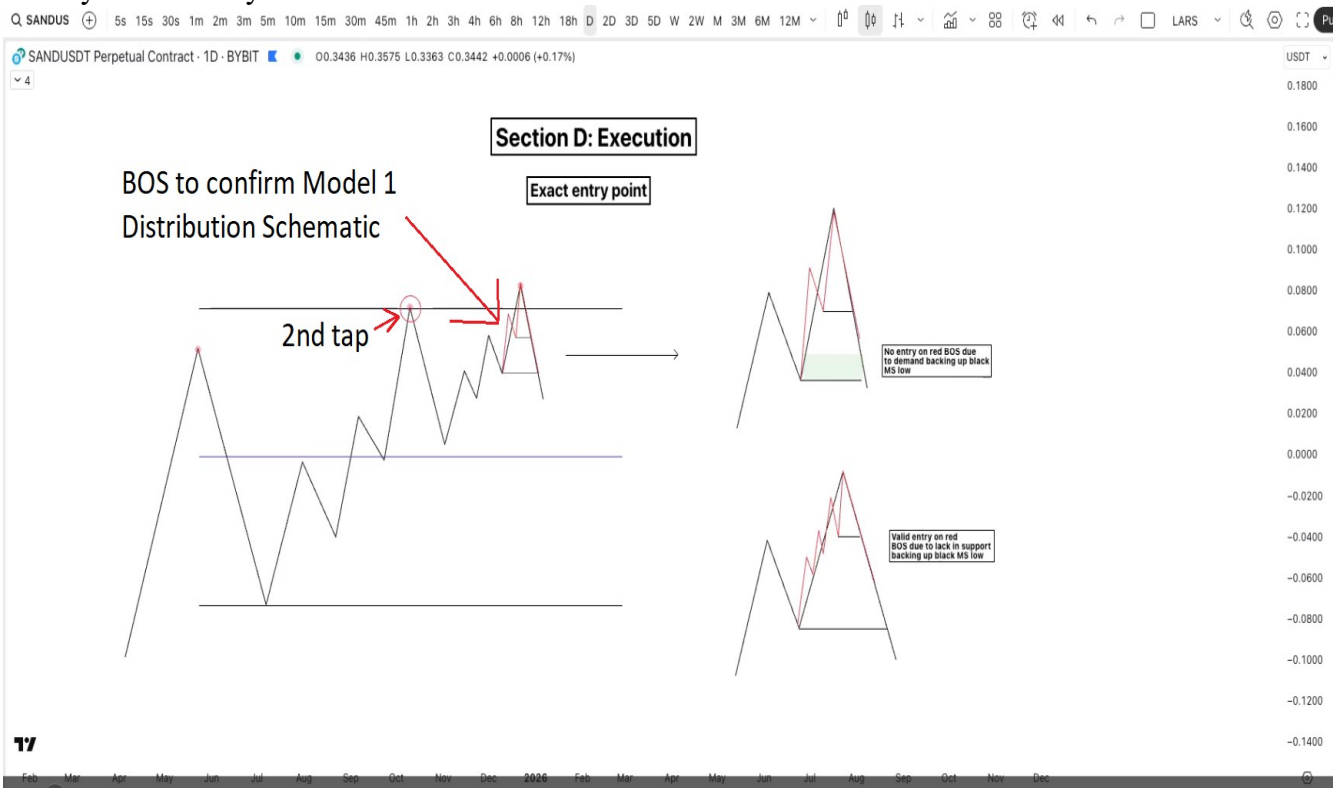
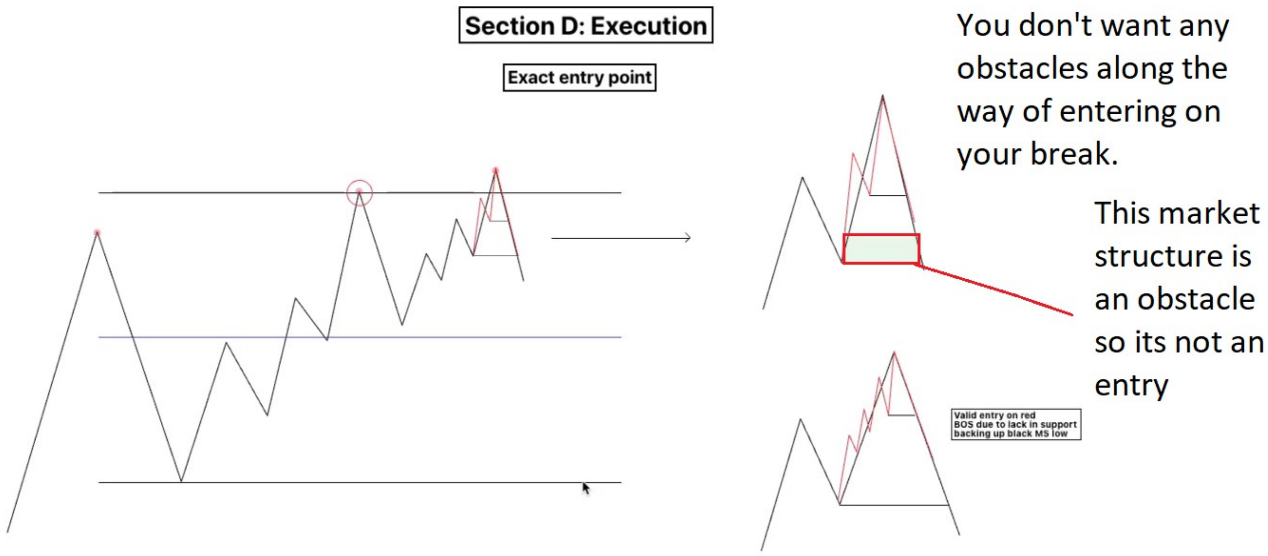
Section D: Execution – Exact entry point

Execution is the most important thing in trading because essentially trading is execution. Consistently buying and selling trying to make money in these markets Technical analysis is great for the analysis of the markets but it doesn't make you any money. Its actually placing orders is whats going to generate profit over time if you do it correctly. It is important segment to know all the different processes around the execution process from the exact entry point, from the trade management aspect, stop loss trailing, partial TP(taking partial profits) to derisk positions, actually taking profit in general or extending take profit targets, so we are going to be diving into the entire execution process in this lecture. Starting off with the exact entry point. The question I get all the time is "why did you use this 15min market structure high in this accumulation, and the 45min market structure high in the other accumulation?" so I am going to be diving into it in this lecture to clear that up.

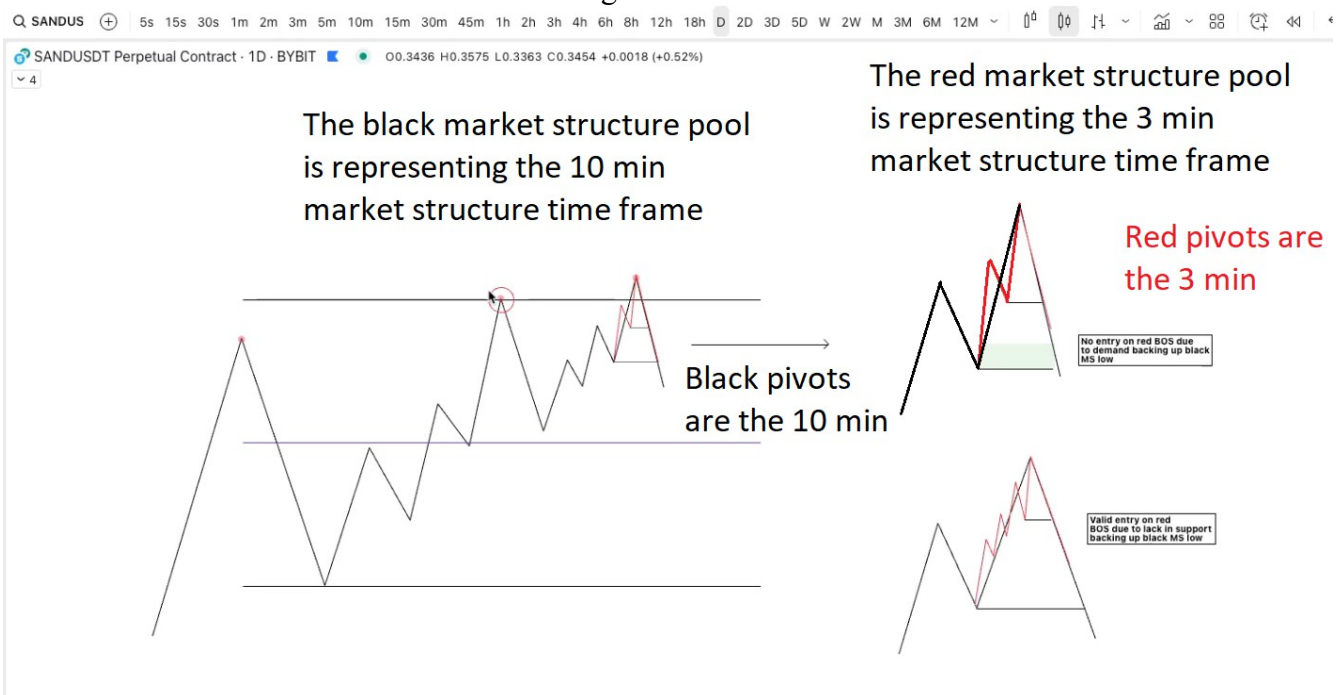
You should know that in order to confirm a Model 1 Distribution we are waiting for the bearish break of structure back inside the original range value and in this case its back below the 2nd tap high because we are focusing on a Model 1 Distribution Schematic and once you get that break of structure that is when you confirm your Model 1 Distribution Schematic.



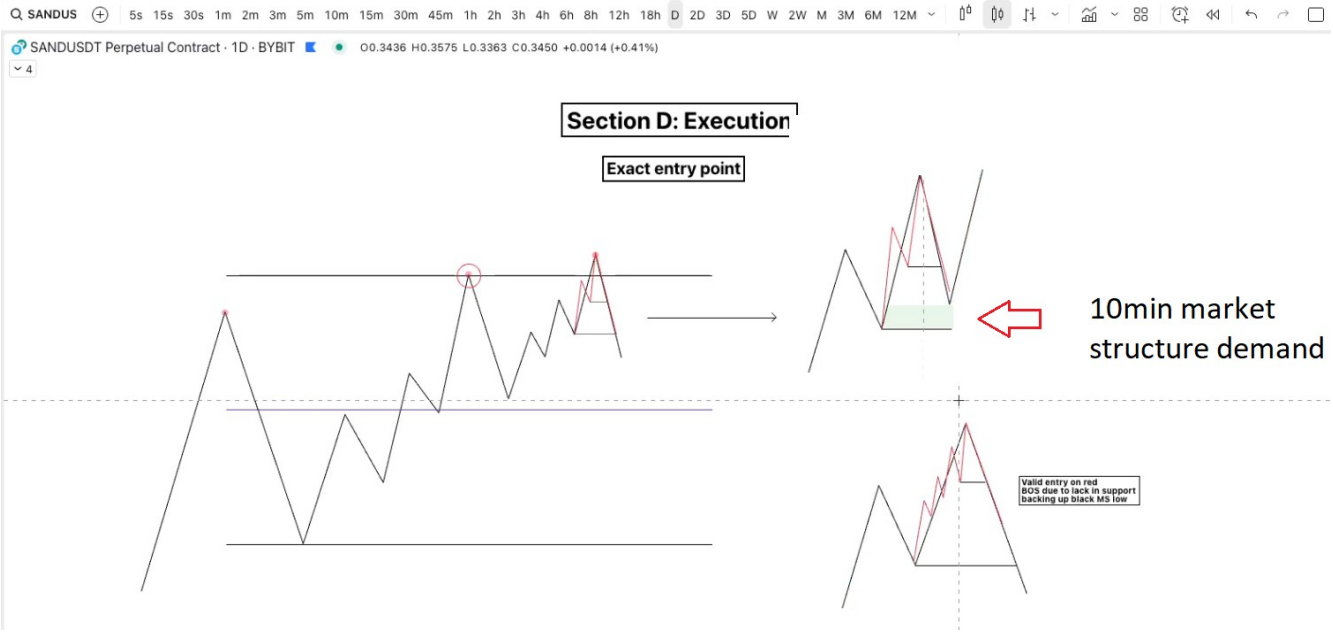
It is important for you to know which market structure low you should look at in order to actually confirm the TCT Model 1 Distribution. In order to confirm which market structure low you have to be aware of these scenarios presented to you on the right. What you want to do is enter on the BOS that is going to be a smooth move to the technical target which is going to be the range low.



So as long as there is demand in or around the 10 minute market structure low we cannot enter on the 3 min break of structure.
We want to focus on what is going to be the market structure low that if we break it we are going to have a smooth transition down towards the range low.

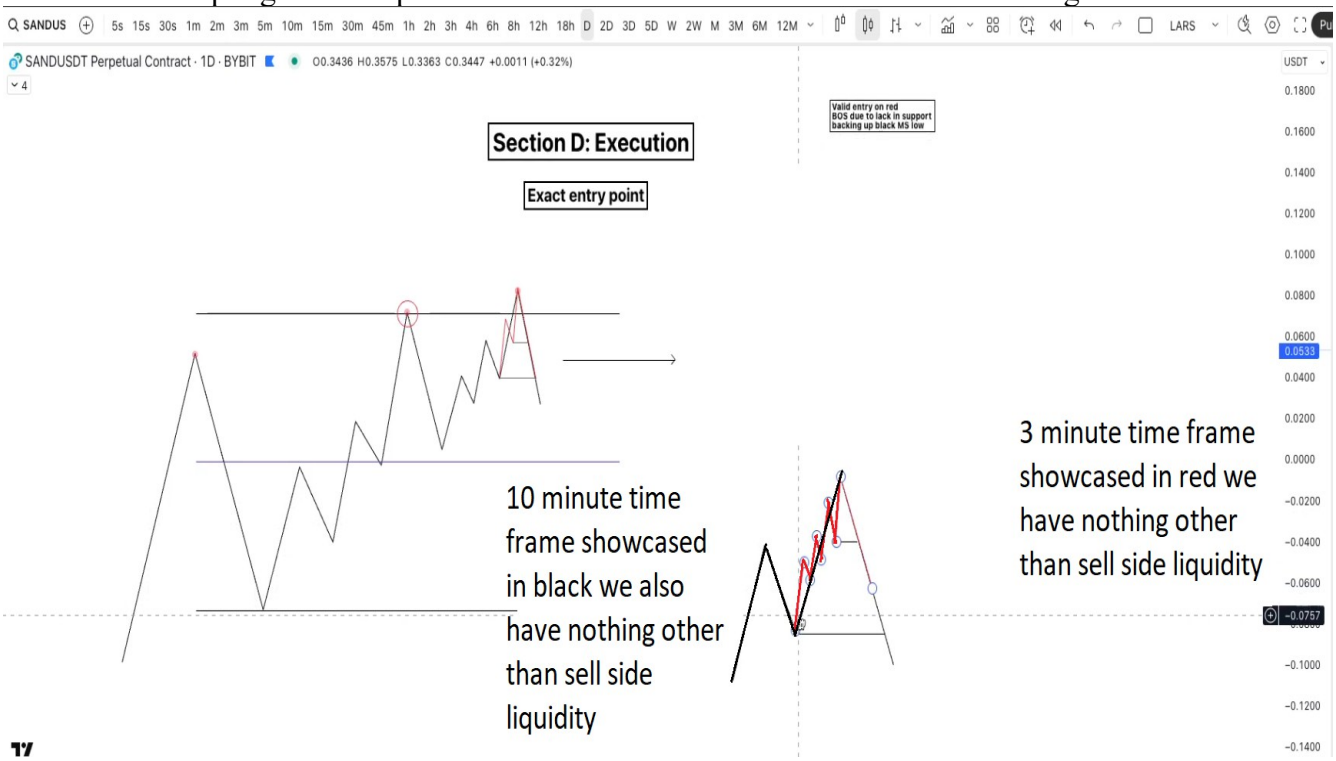


When both of these market structure lows are located below that 2nd tap high because that is a requirement we cannot enter on the 3 minute bearish break of structure if there is a 10 min low underneath it supported with demand because in that situation price could create a fake break of structure on the 3 minute to mitigate demand to create the higher low for the higher high following your 10 minute time frame. Which would look something like this:



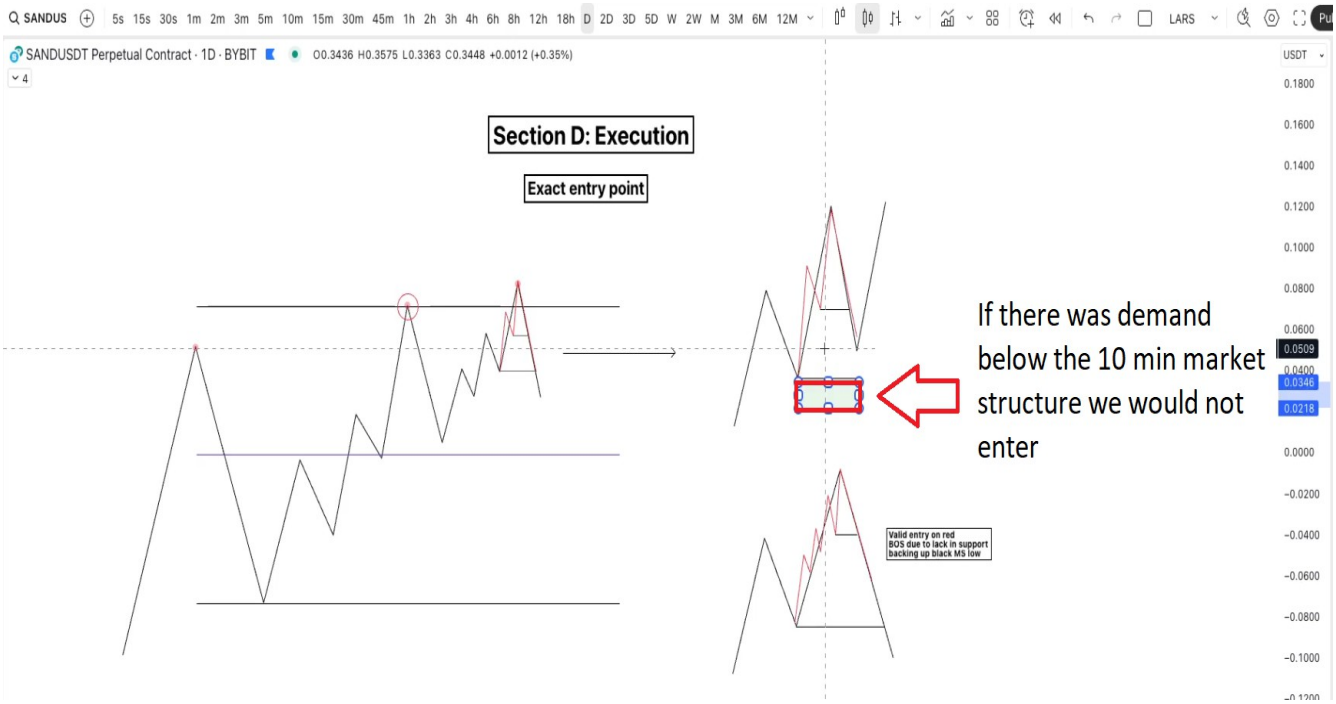
I cannot enter on the 3 minute break of structure because there is demand protecting price from coming toward that 10 min market structure low. In those situations you are always going to wait for the black market structure low to be broken back to bearish in order to confirm your TCT Model 1 Distribution Schematic.

There are also going to be situations where both of these market structure lows are going to be located below that 2nd tap high but the price action on the lower time frame looks something like this:

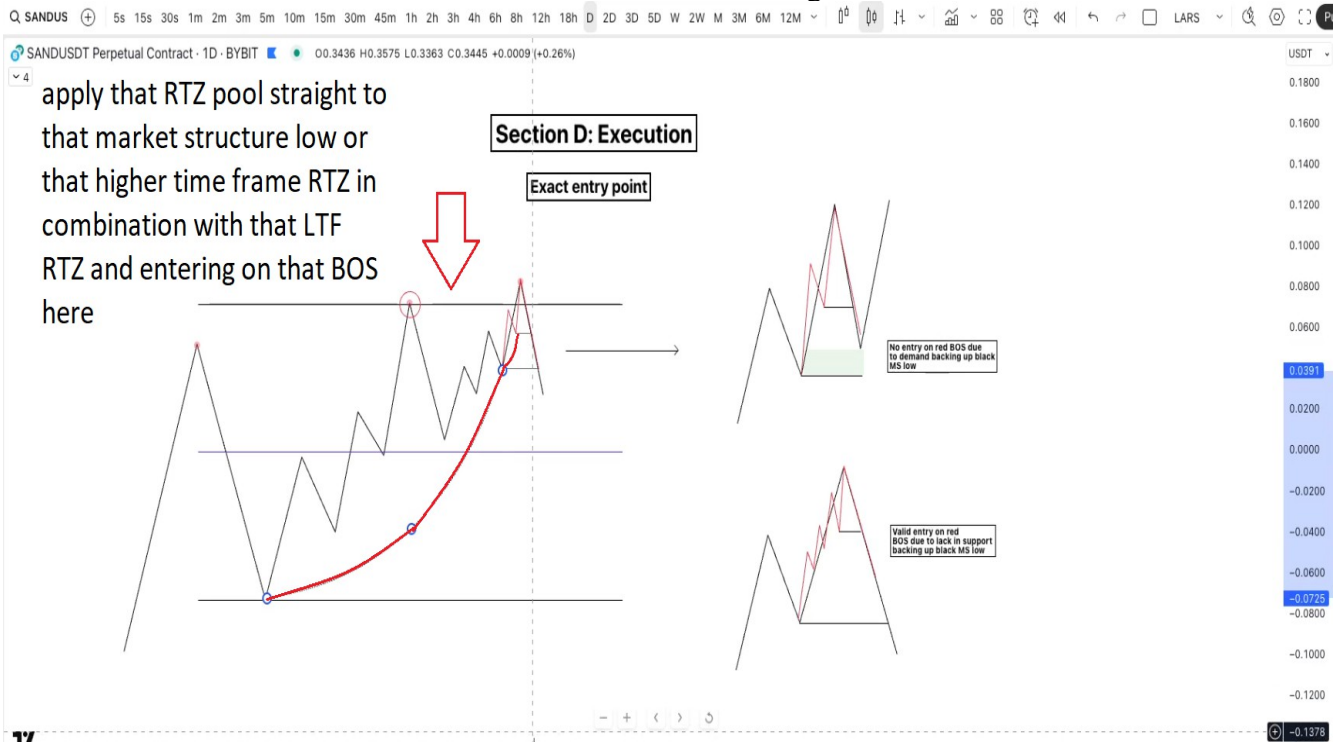


There are also going to be situations where both of those market structure lows have demand below. If

there was demand below that 10 minute market structure low than we would not enter:



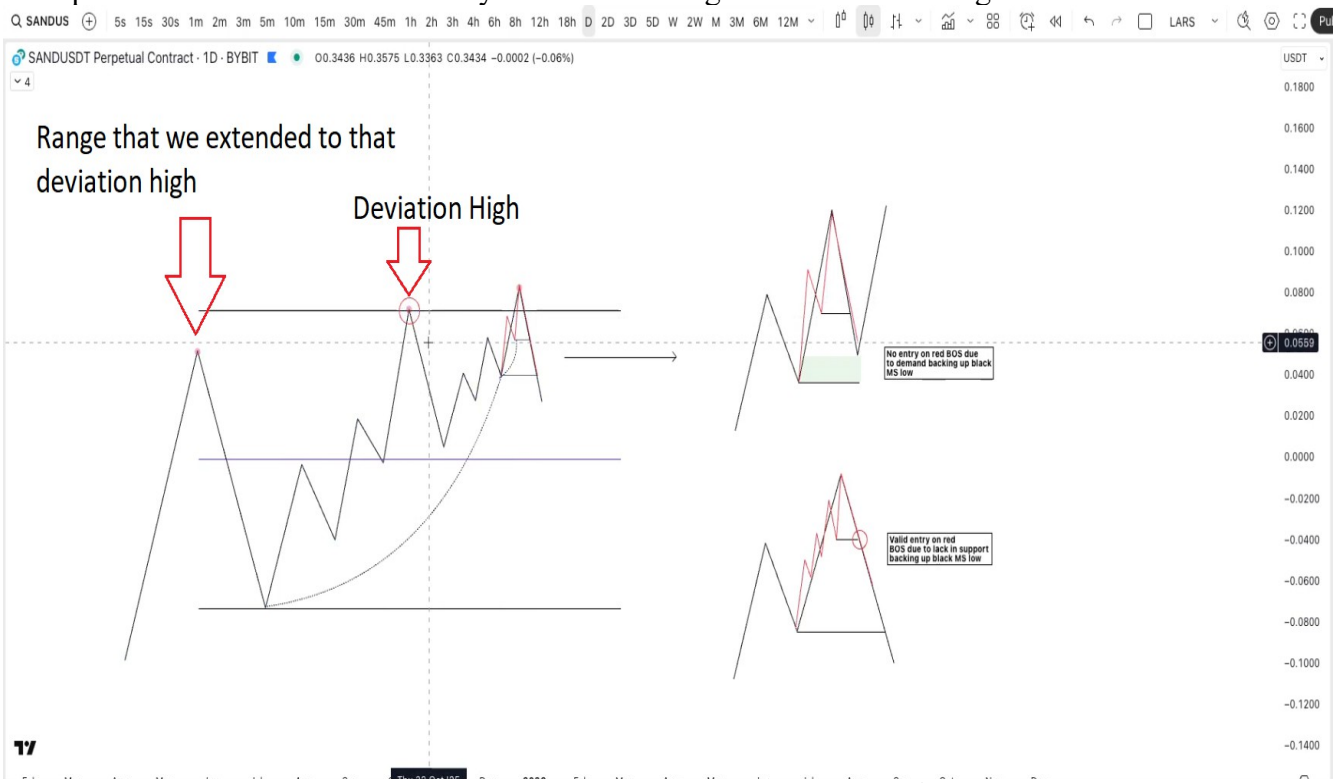
In this situation that is where you can apply that RTZ pool straight to that market structure low or that higher time frame RTZ in combination with that LTF RTZ and entering on that BOS here should indicate a smooth reversal back down towards the technical target:



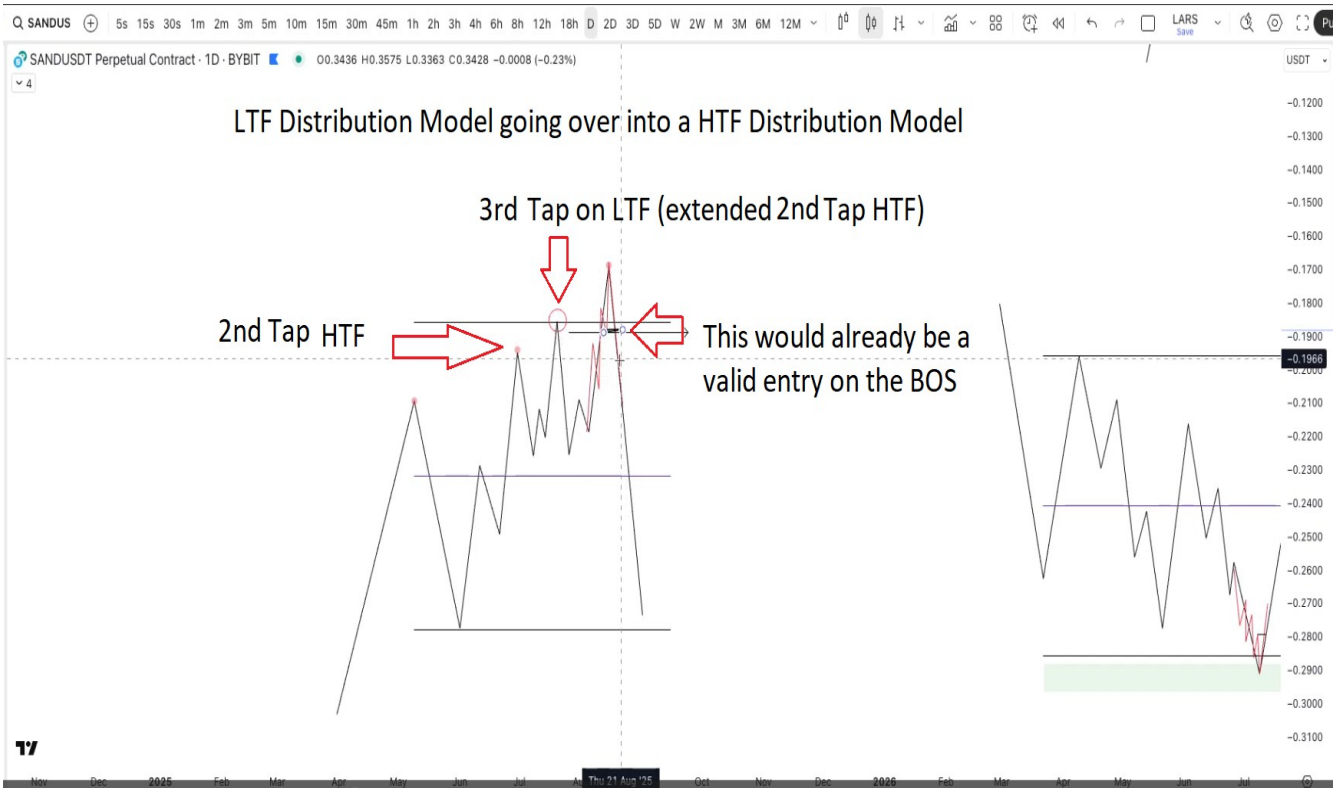
It does not matter what the time frame we are using it all depends on what the market has to offer. It is important to know that you should not start picking out tiny OBIFs that did not do anything that are in the middle of a generalized RTZ. Still apply the normal supply and demand rules but it doesn't have to be as high probability liked we have talked about from a supply and demand perspective. Just a normal OBIF in a pivot point thats where you want to be watching out in case of these fake breaks on the lower time frame to continue with that low time frame pull. Because you need to remember we are

trying to confirm our high probability models that means that if you are looking for that market structure low to get broken that means that you have a high probability potential distributive range. So a low time frame demand/supply POI is not going to cancel out the entire TCT Distribution Model in this example. And you can simply enter there if there is a break of structure if there is a tiny irrelevant demand POI located within the RTZ that didn't do anything but is just there from a tiny perspective. If you see me using a refined market structure point it is because there is nothing other than liquidity towards the next market structure point. Im also not going to be monitoring the next market structure point. Im using that market structure as my confirmations and we are either getting stopped out or we are hitting our take profit.

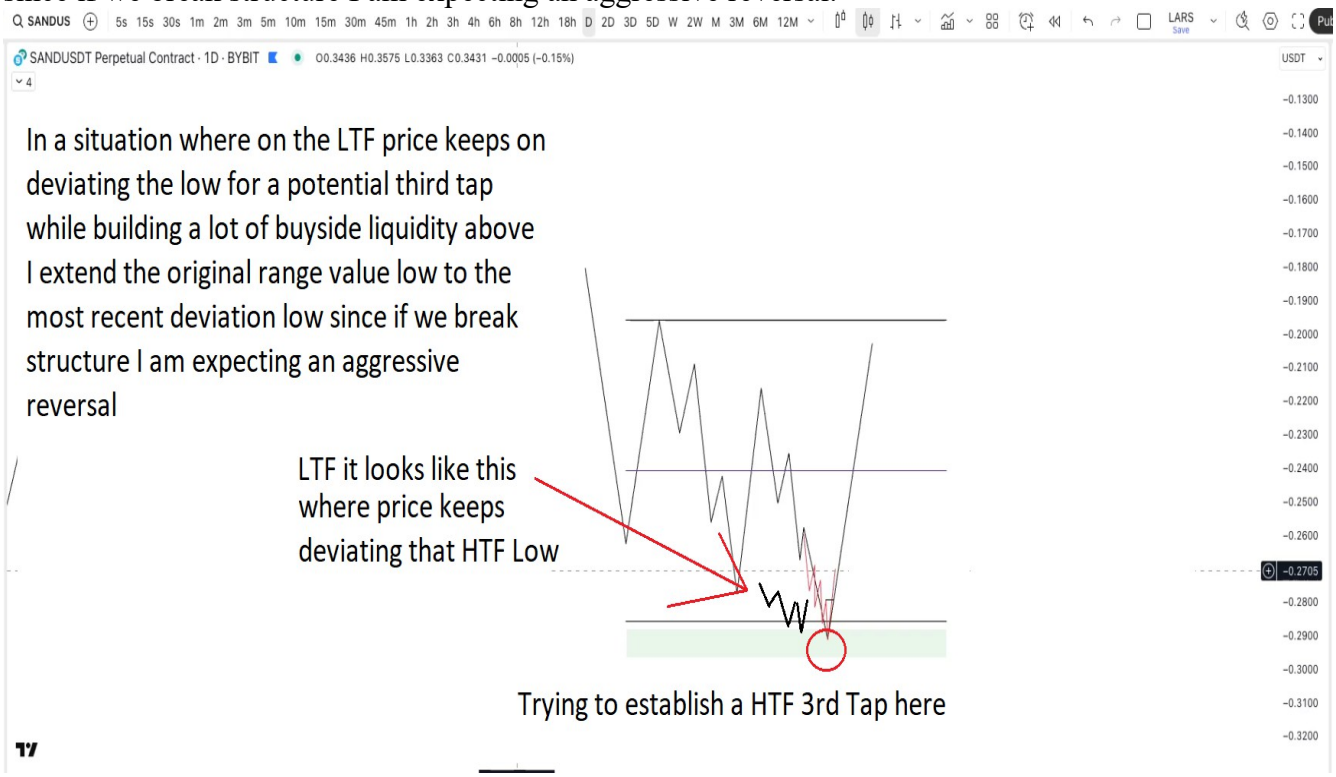
Than it is important for you to understand which high or low to use to confirm that BOS back below that specific low in this case we always extend that range to the deviation high:



Than after the deviation High we wait for that break back below that 2nd tap Deviation High.
Now there are a few adjustments that you need to be aware of. These adjustments such as the LTF Distribution Model going over into the HTF Distribution Model which is a concept explained where via the 6 candle rule you can validate a 4 tap sometimes as a 3 tap based on structure. When you are in the situation where your LTF model is going over in a HTF model we extend that range high to the most recent deviation high and use that as our original range value to watch for market structure confirmations. When on the LTF we have a 4 tap where we can validate on a HTF as a 3 tap we are not going to be waiting for our break of structures back below that HTF 2nd tap low. In those situations we can extend the range to the most recent deviation high and watch for BOS back below that highs.

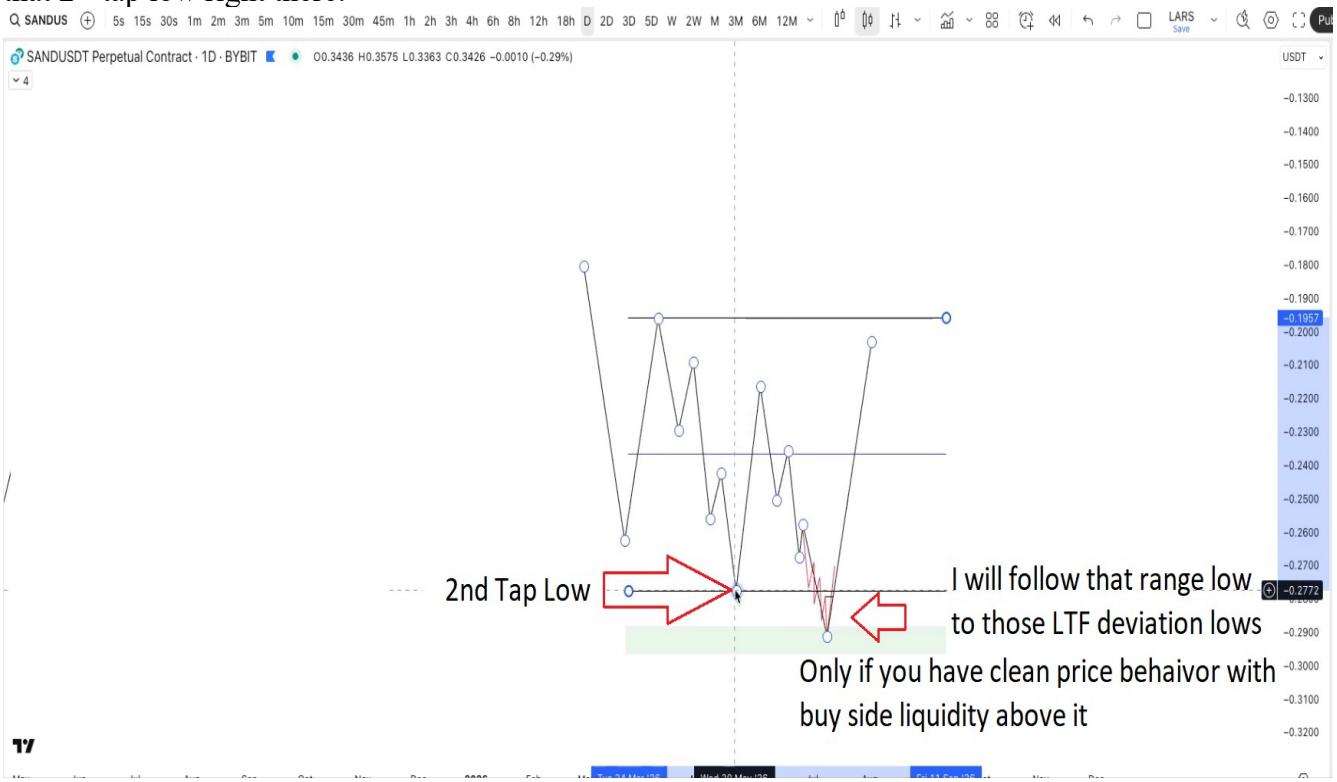


In a situation where on the LTF price keeps on deviating the low for a potential third tap while building a lot of buyside liquidity above I extend the original range value low to the most recent deviation low since if we break structure I am expecting an aggressive reversal.

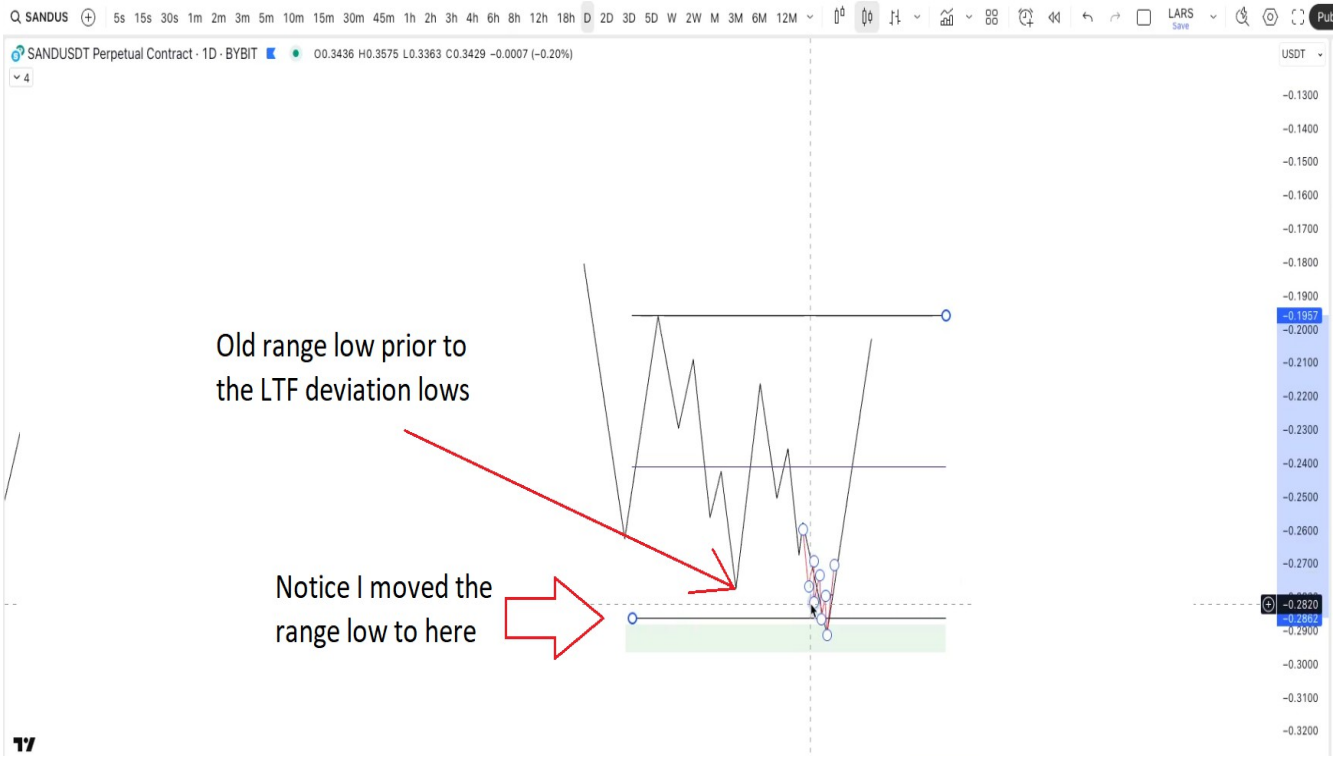


But on a higher time frame this could all just simply be just one move down for one move up for a total 3 tap. When you get those lower time frame deviations happening a lot it often has some reason where it wants to tap into some key demand before actually reversing but once you get that BOS because you have been slowly grinding down leaving all that buyside liquidity above im expecting an

aggressive reversal and therefore im not going to be waiting for the BOS that is going to be back above that 2nd tap low right there:

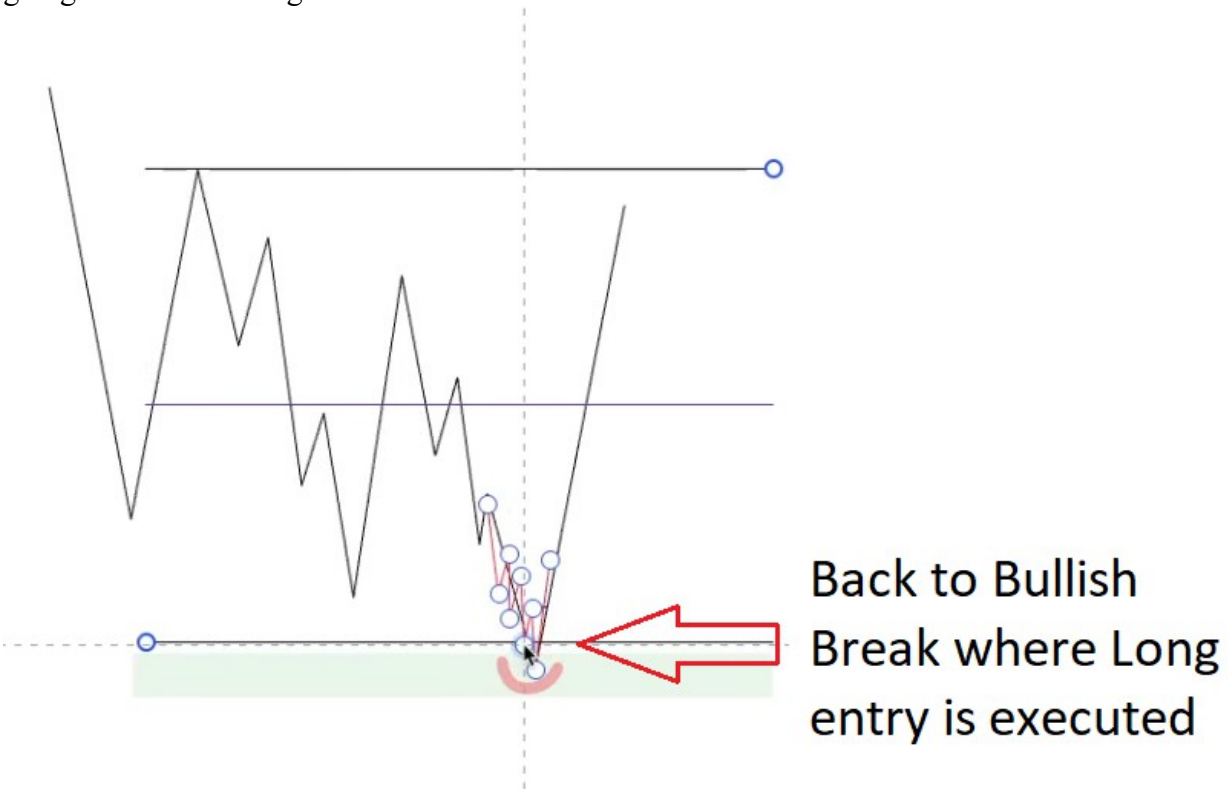


So if I follow the range low to those LTF deviation lows only if I have clean price behavior with buy side liquidity above it will I move my range to that so it would look like this:



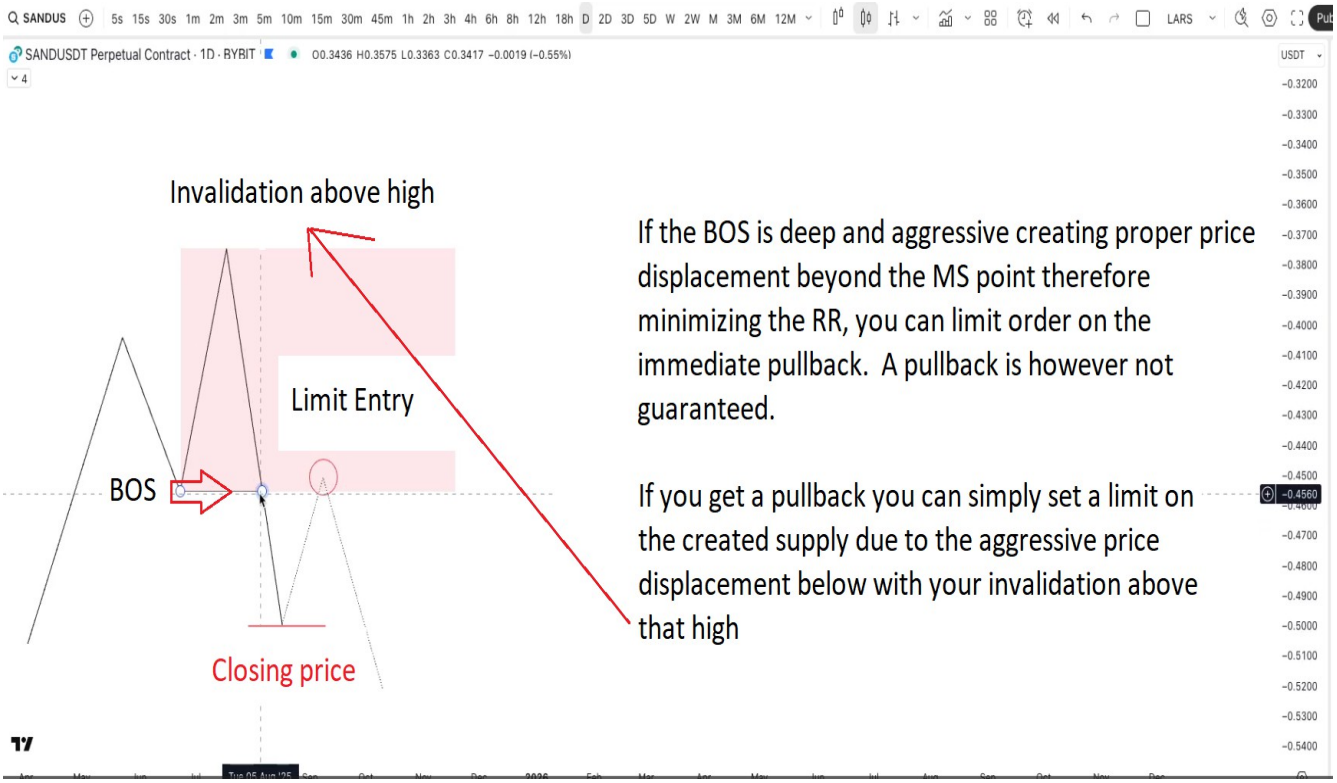
Because in those situations I am expecting a fast squeeze back above and eliminating that wait for the break back above that old range low is just minimizing the RR. So when we have set our new range low after all the range low deviations and when price has that shift in structure back to bullish thats

when I am entering long when we can break above the most recent deviation low which in this case its going to be that low right there:

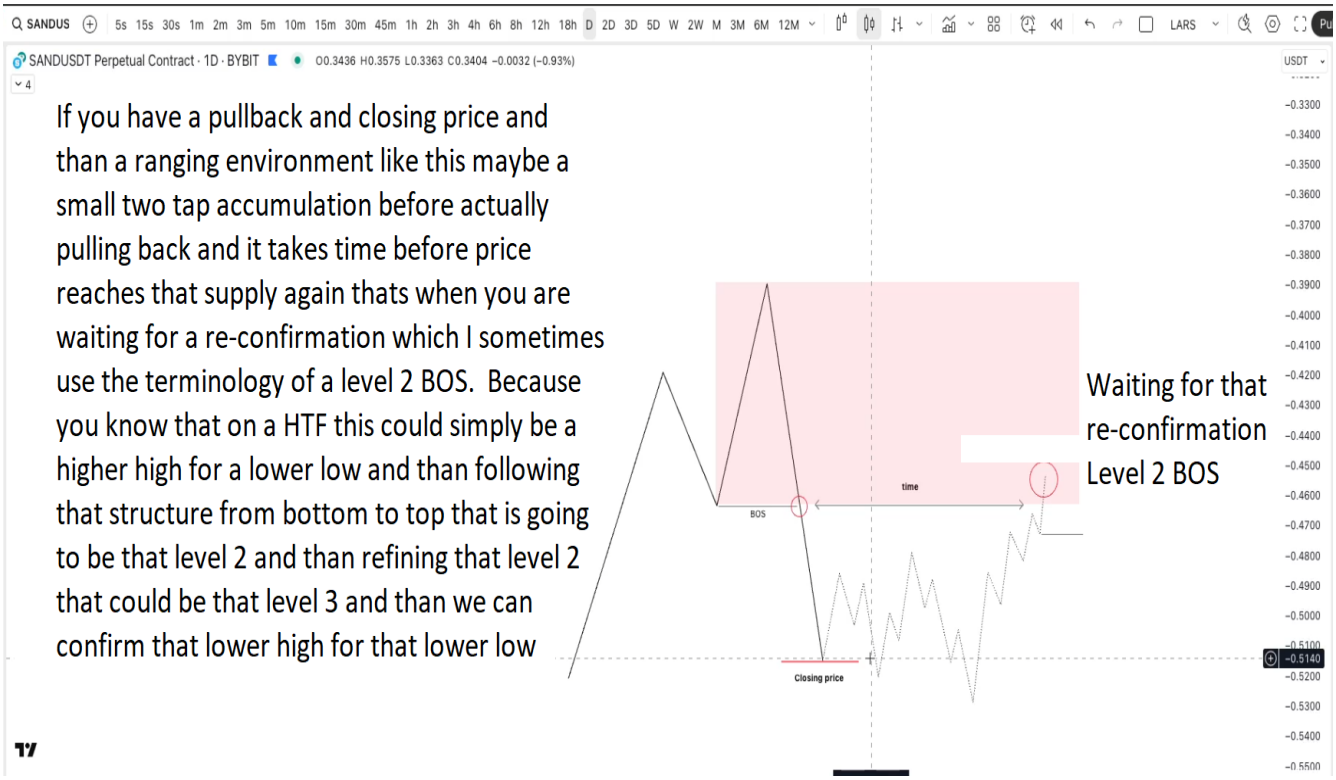


Once we break back to bullish we can enter only if the rules that we stated above starting on page 1 and so on need to be followed. And that is all you need to know from an exact entry point perspective its not hard we are just picking out high probability models and then we are picking out market structure points where we are expecting that break to get a smooth reversal towards the technical target. Where if you can pick out that market structure low where you can also break out of that RTZ your just expecting a fast liquidity flush towards the opposite side.

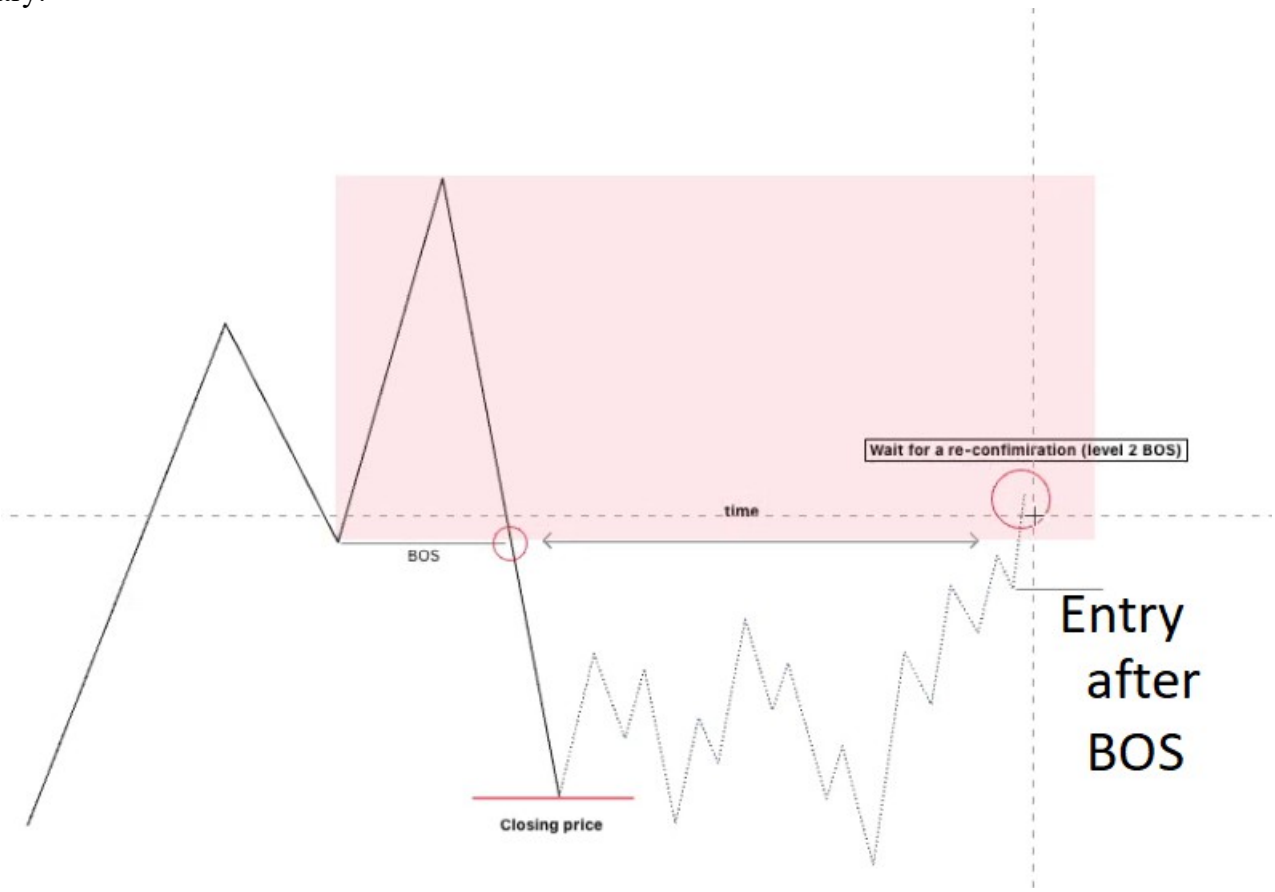
Now we are going to be talking about the entry on the BOS & Retest versus the entry on the retest and how to play it. 90% of the time my entries are via market orders on the break of structure on the actual candle close break of structure. Now sometimes its not going to be an actual market order but I limit in via iceberg order which is just an automated limiting in feature eliminating spread and also fees when positioning yourself but 90% of the time im entering on a candle close which is representing the BOS. And maybe 10% of the time limiting in the trade. But there are going to be situations where the BOS is going to be extremely deep and aggressive creating great proper price displacement beyond your market structure point and therefore it is also minimizing the RR. If you get an immediate pull back that is when you can limit order in. So looking at the BOS in the screenshot below we can see that what a limit order would look like if we get an aggressive pullback with price immediately shooting back up and where to set our limits. When I say immediate I don't mean the 2nd candle after the BOS preferably that doesn't happen because that could indicate a fake BOS but just the purpose of the BOS is to immediately pull back there is no accumulation here at the bottom there is no extended follow through before pulling back maybe going a tiny bit deeper and than just a pull back. That is what I consider an immediate pullback and that is when you can actually limit in because your basically entering on the break if it offered you a break of structure opportunity there but its just too deep so you are waiting for the pull back to enter and that BOS confirms the model and that invalidation above should be a protected high.



A pullback is not guaranteed. If you have a pullback and closing price and than a ranging environment like this maybe a small two tap accumulation before actually pulling back and it takes time before price reaches that supply again thats when you are waiting for a re-confirmation which I sometimes use the terminology of a level 2 BOS. Because you know that on a HTF this could simply be a higher high for a lower low and than following that structure from bottom to top that is going to be that level 2 and than refining that level 2 that could be that level 3 and than we can confirm that lower high for that lower low.



Once you get that Level 2 BOS and it pulls back below that orig BOS than you would look for that entry:



That kind of makes this more of a potential LPSY from a distribution perspective the extended tap from

a distribution perspective and than you have to wait for that bearish BOS to confirm that high. But overall 90% of the time im actually entering on the BOS after literally closing that BOS candle confirming your model. Sometimes I will wait for the 2nd candle to open to see what the candle does before actually entering that is just based on experience sometimes I just want to see how that 2nd candle opens to avoid that candle to immediately shoot back up after closing below and that might be the first 15 to 30 seconds of that candle opening after confirming the break to just kind of see and than scale in that way but that is mainly based on feeling and just experience in these markets. That is all you need to know from a BOS entry perspective regarding also which market structure high and low to use and how to enter.

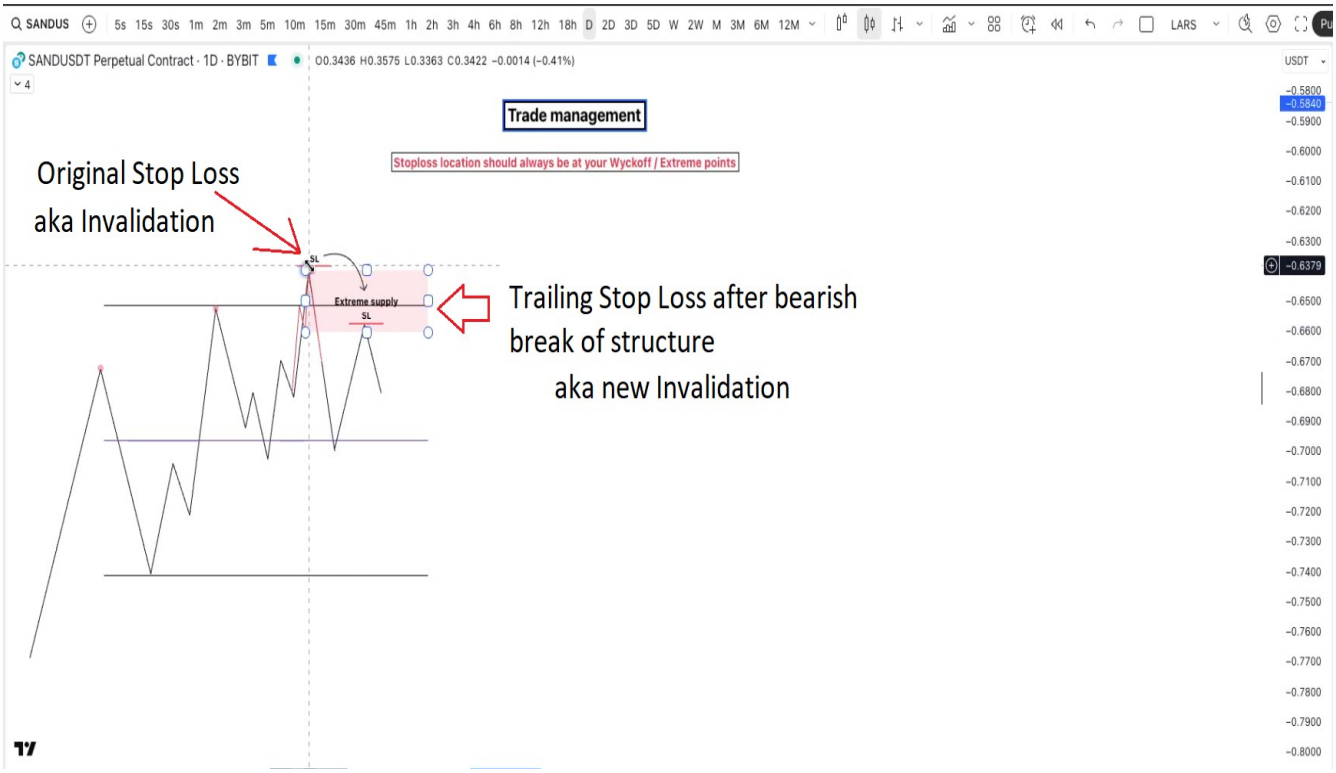
Trade Management

Stop loss location should always be at your Wyckoff / Extreme points

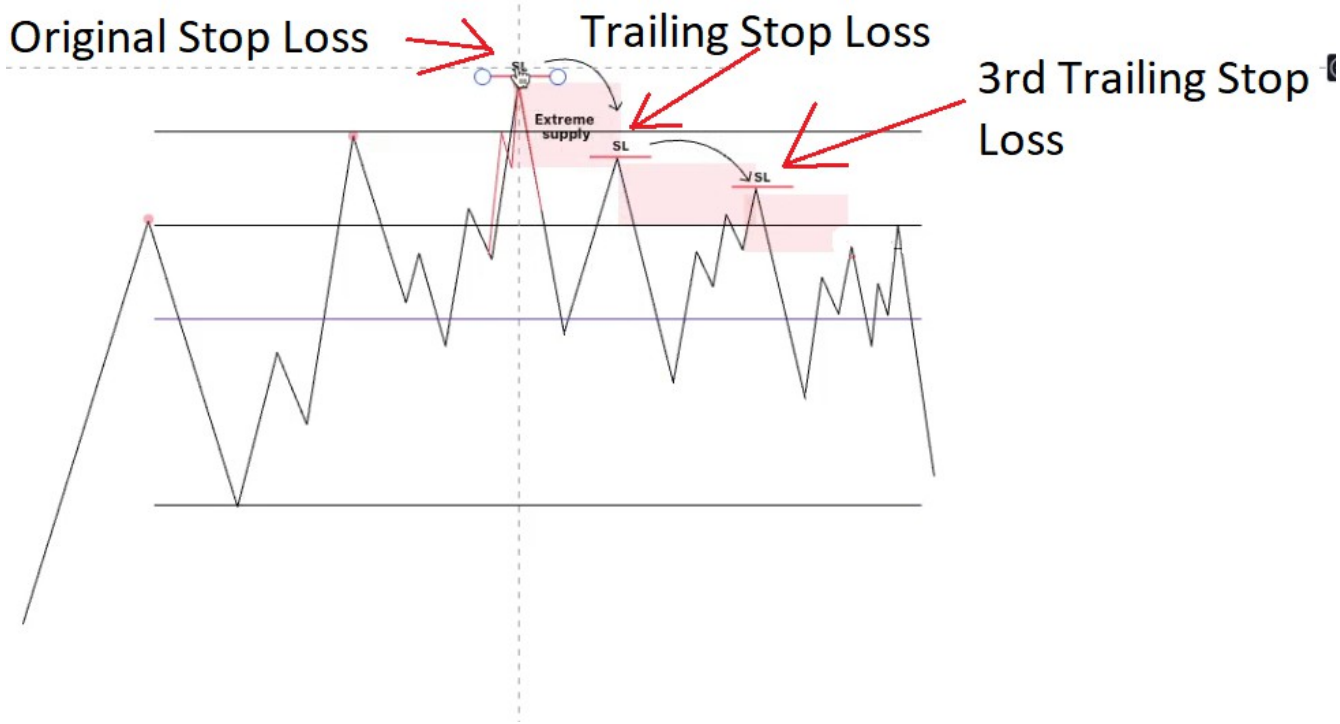
I want to point out something first. When you are trading this system your mind is going to be playing tricks against you. Your mind will want you to de-risk faster. You are not supposed to be de-risking because you are simply scared of losing money in these markets because you haven't established the proper probabilistic mindset yet. If you don't have your trading psychology in check I highly advice you to not apply trade management. In the beginning. Take a trade wait for the high probability variables and the confirmations. Take the trade set the stop loss aka SL set the take profit aka TP and don't touch it. And when you have proven to yourself that you have the mental strength to take 20-50 trades setting SL, and TP without messing and touching a trade in between. Thats where in my opinion you have proven to yourself that you have the mental strength needed in order to apply trade management. Otherwise the rules I am about to tell you; you will be validating those rules in a live trading environment with the purpose of derisking a position even though you are not supposed to be derisking position your just scared of losing money. So I want to make that very clear. Only apply trade management when you have proven to yourself you have the mental strength to stick to your plan in trading.

First from a Stop Loss Location Perspective

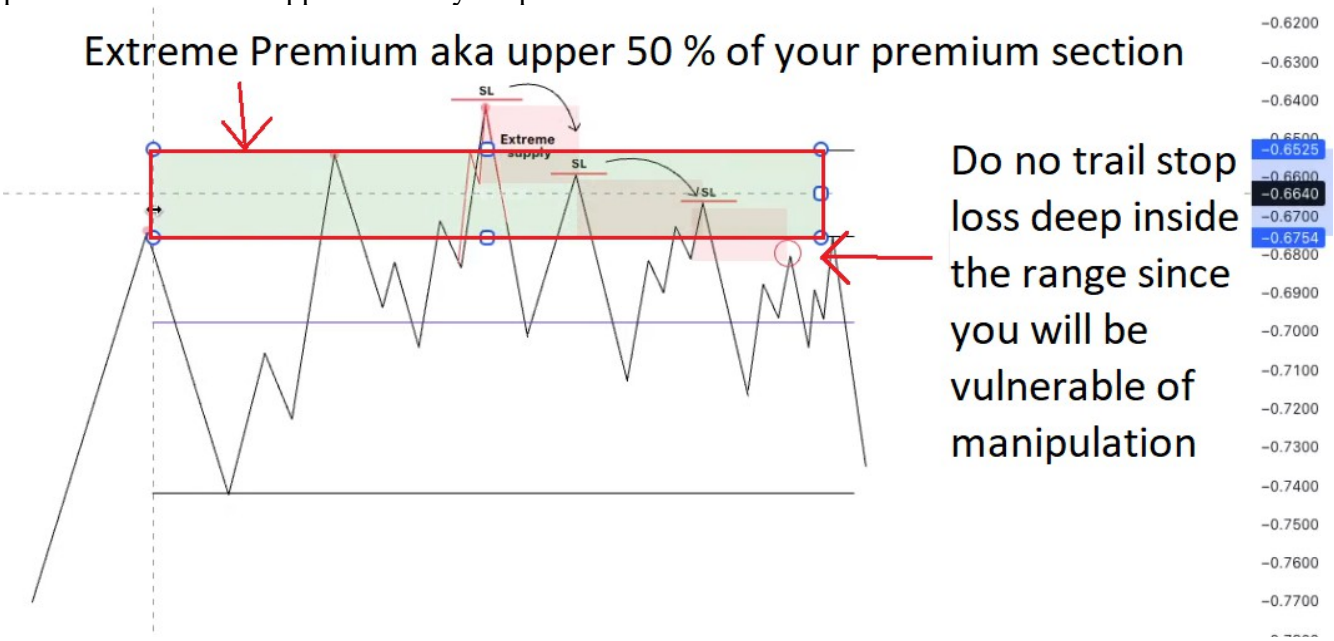
Obviously when you enter a position our stop loss is going to be at our Wyckoff points. And they should always be at the Wyckoff and Extreme points. So when we have this Model 1 Distribution right here and we are entering on the bearish break of structure we can put that stop loss above that 3rd tap high. If price later on comes back towards the extreme supply that could be where your Model 1 Distribution flows over into a Model 2 and than if you get a bearish break of structure after the extreme supply mitigation that now; that high becomes part of your Wyckoff model because you have a Model 1 going into a Model 2. In order to establish a Wyckoff tap there you also need to mitigate extreme supply. So the moment you get your bearish break of structure in your extreme supply aka your last supply remaining protecting price from coming to that high than you can trail the stop to that new Wyckoff tap there because if price goes above it your Wyckoff is invalidated and your idea is invalidated and two there isn't anything protecting price from coming to your original stop loss placement because extreme supply was already mitigated. So the moment you take that high right there price will rotate back up to that high as well. See screenshot below for details:



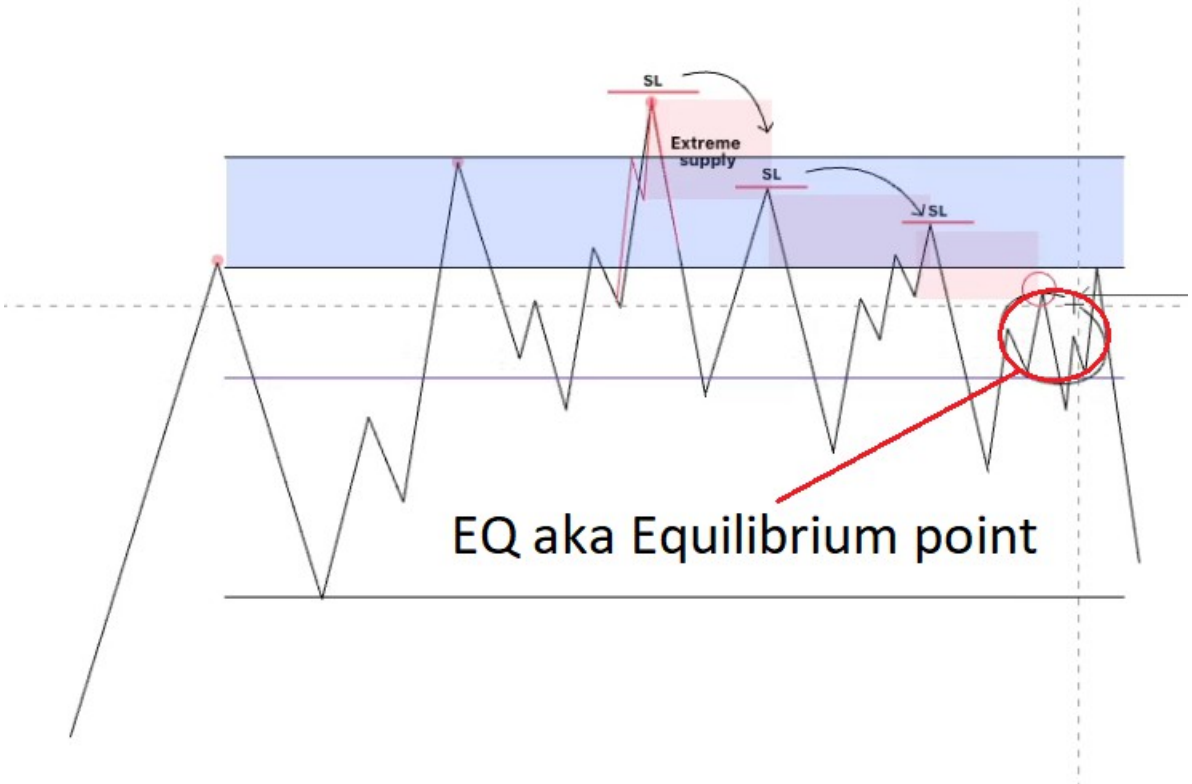
If you enter on that original stop loss and you see price return to that extreme supply you can also partially derisk yourself depending on how confidant you are in the trade. There are also going to be situations for example we have a Model 1 flowing over into a Model 2 and that Model 2 is flowing over into an extended Model 2 which is something we have talked about in trading the extended tap in the Section C. In that situation the exact same rule applys. If after this enter into Model 2 price pulls back into extreme supply and you get your bearish break of structure confirmation you can trail the stop loss to that retest high right there. Because 1.) If price goes above that high your Wyckoff gets invalidated. 2.) There is no supply protecting price from coming to the previous market structure high and there is no supply protecting price from coming to the original market structure high. See example below:



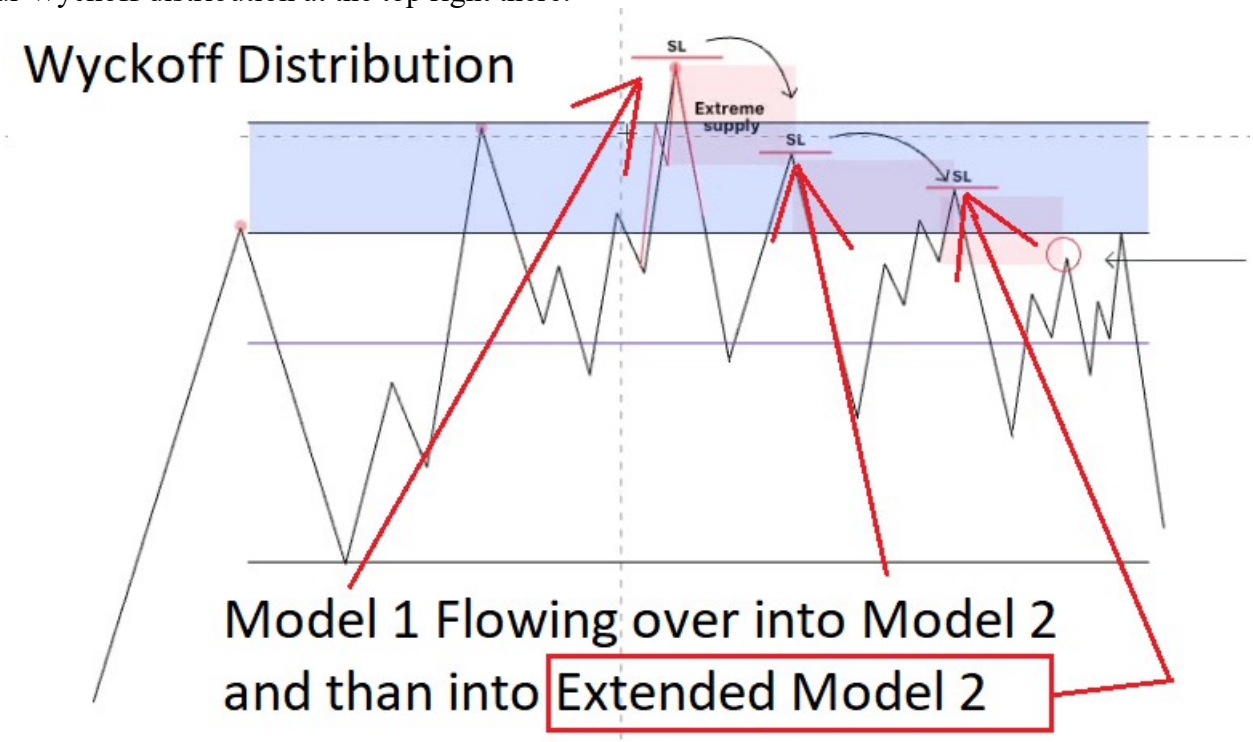
I want you to be extremely careful with trailing your stop because you do not want to do this process too deep in your range. Usually the trailing goes on in extreme premium and when I say extreme premium I mean the upper 50% of your premium section. See below:



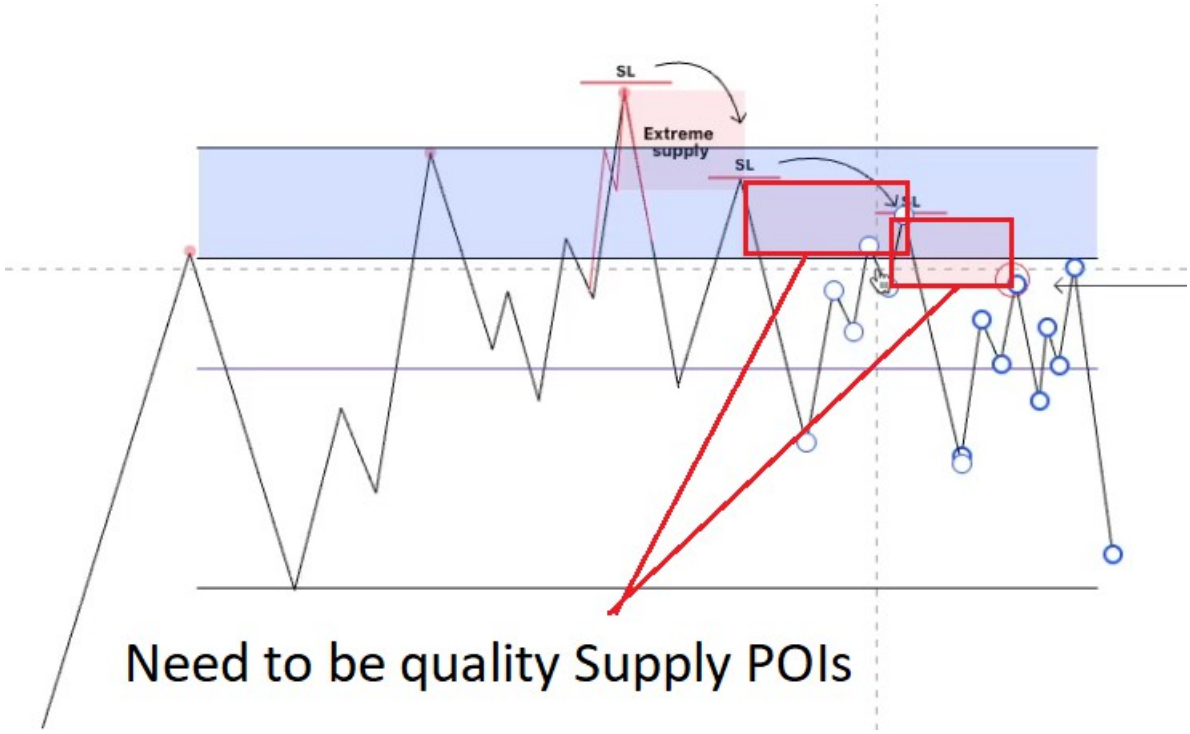
After you have your Wyckoff taps established in this region it could be that you again have an extreme supply creation right there. If price has that you do not want to be trailing your stop loss to that retest high of your extreme point because you are simply too deep in the range. You are hovering around that EQ right here:



If price revisits that EQ area than in that situation this is not your Wyckoff high anymore because that is your Wyckoff distribution at the top right there:

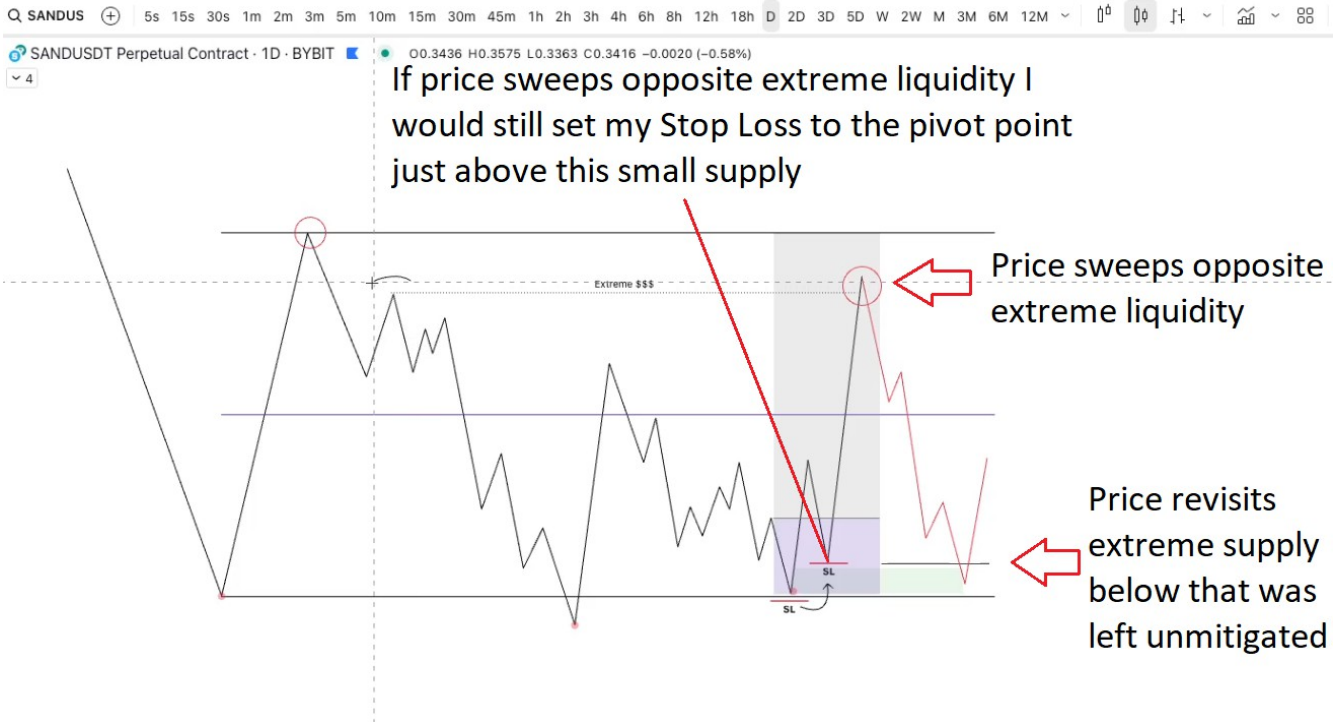


So you don't want to trail stop loss too deep in the range. I usually trail it once maybe even twice or not at all within a high probability TCT model. Don't start chasing price too deep just because your scared of losing money. Because these supply POI's need to be quality supply POIs:

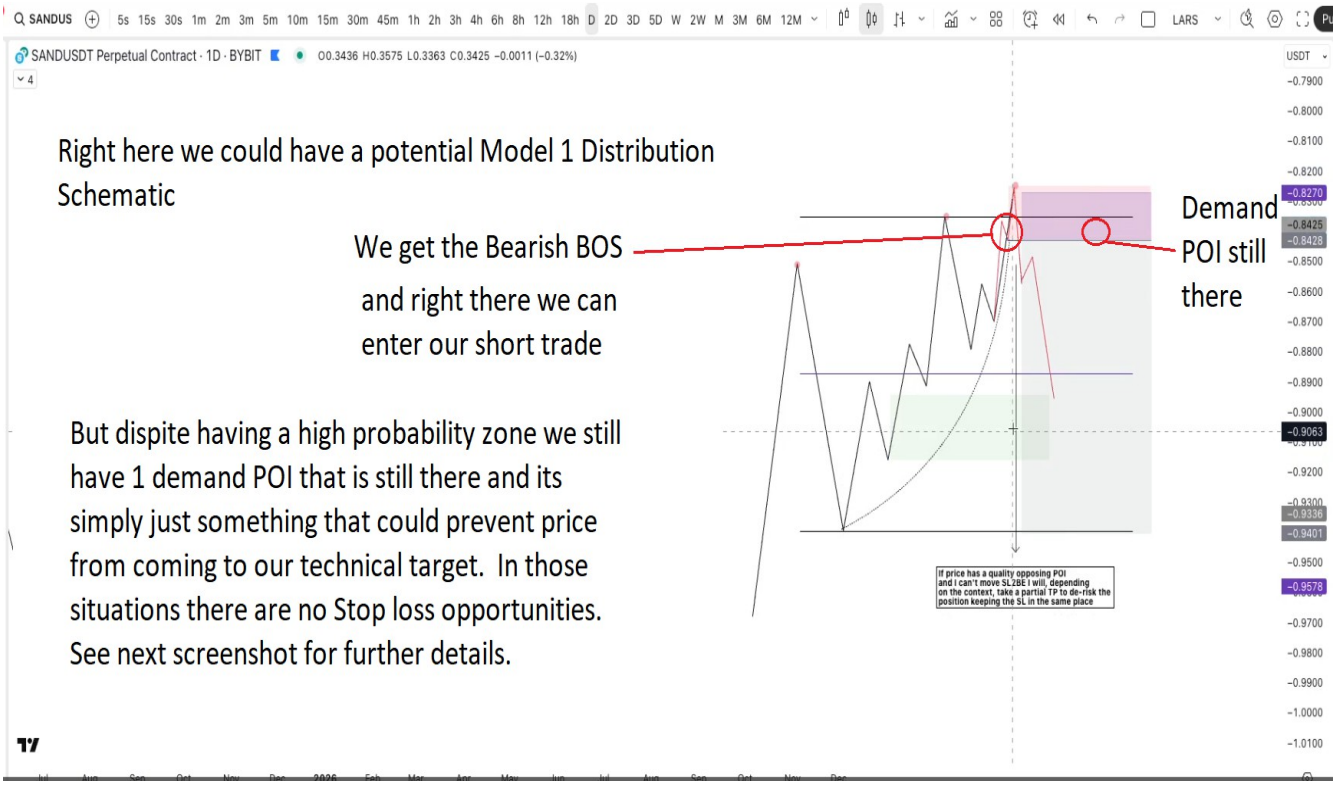


Quality Supply POIs where it needs to have clear invalidation where if it goes above it has nothing to protect price from coming to the other market structure highs therefore if you take your new invalidation high you are also going to take your old invalidation high and therefore you trail it down. The trail is to derisk and or stop in profit.

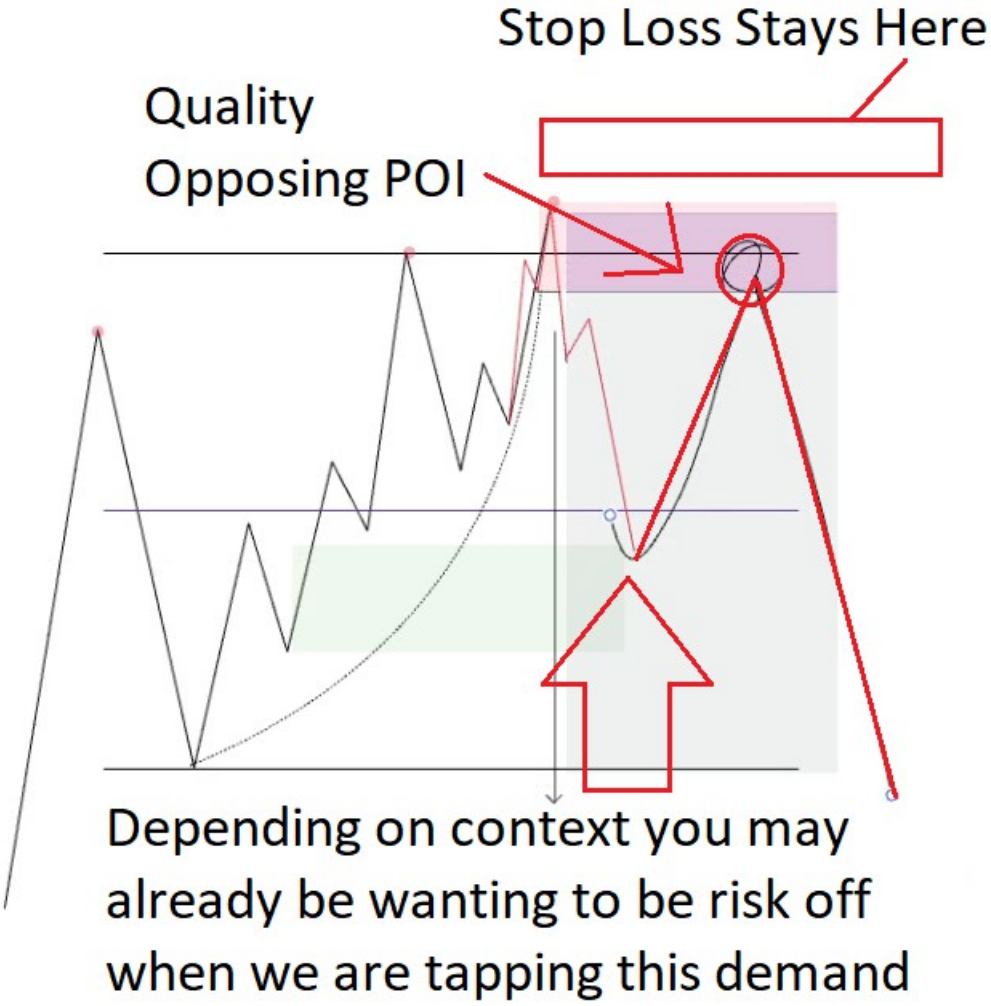
Another scenario where Price taps opposite extreme liquidity:
Once price sweeps opposite extreme liquidity I do not want to see price reverse back down and will trail Stop Loss to second most obvious pivot point even if there might be a slight OBIF remaining. This is also context dependent. See example below:



Model 1 Distribution Schematic where price drops aggressively after a BOS to bearish and leaves behind demand POI:



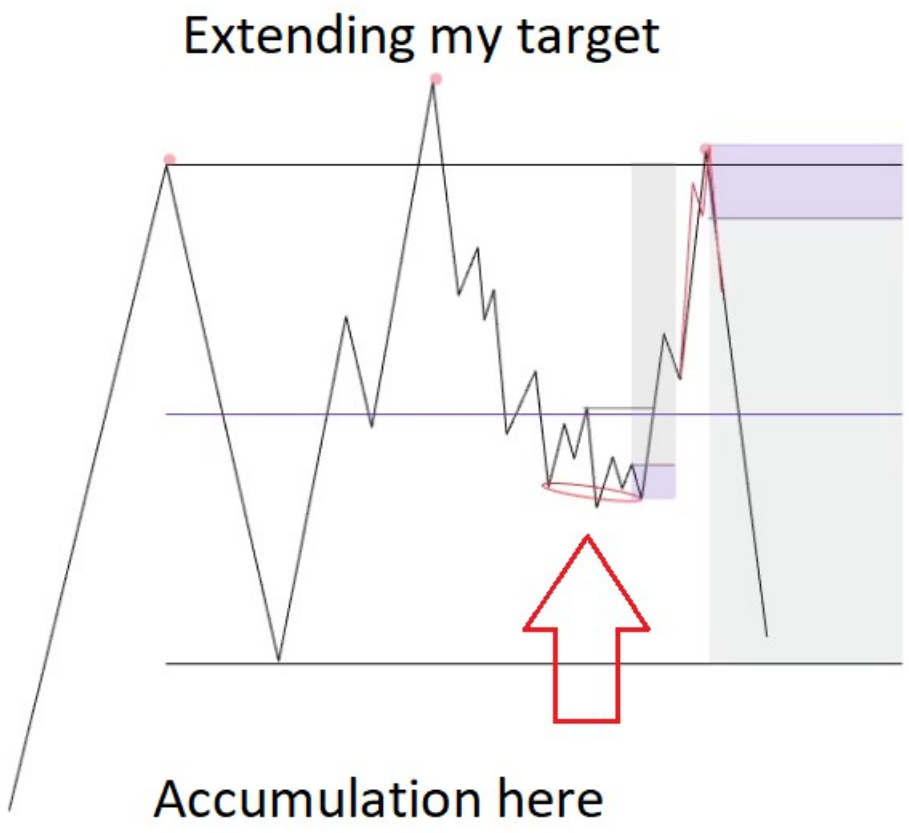
If price has a quality opposing POI and I can't move my SL to break even I will, depending on the context, take a partial profit to de-risk the position keeping the SL in the same place:



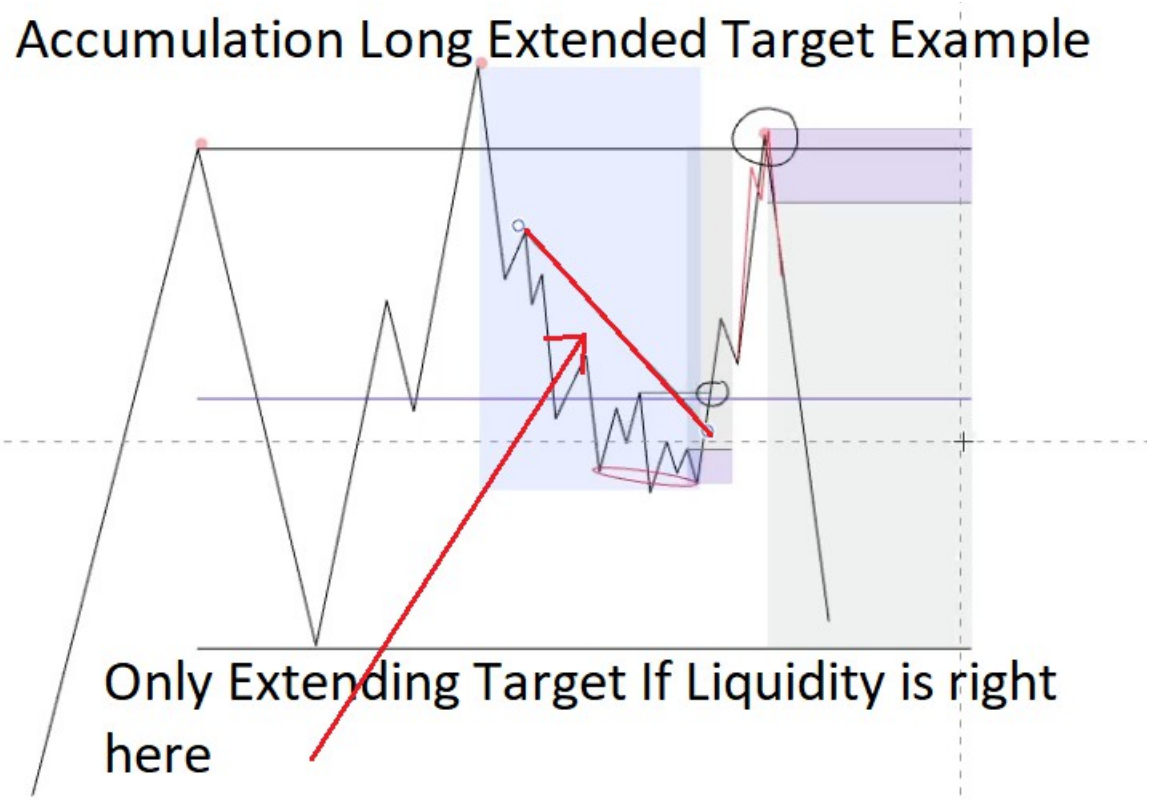
Taking Profit:
Most of the time taking profit happens at our technical target of our TCT Model which is the opposing range extreme point. So in case of a distribution we are targeting the range low, in case of an accumulation we are targeting the range high. In certain scenarios I will be extending my take profit target. In general it always has to do with liquidity. Only extending profit if there is an easy liquidity grab higher/lower than my initial target depending on if I am trading a distribution or an accumulation. There is a reason that we are focusing on having that RTZ within our TCT Models. That is because I want to have an easy liquidity rotation towards the opposing end just acting as a magnet for price to gravitate towards. Thats why I want that RTZ aka Return To Zone. It should be an easy move. Therefore if I am extending my target it needs to be an easy move as well.

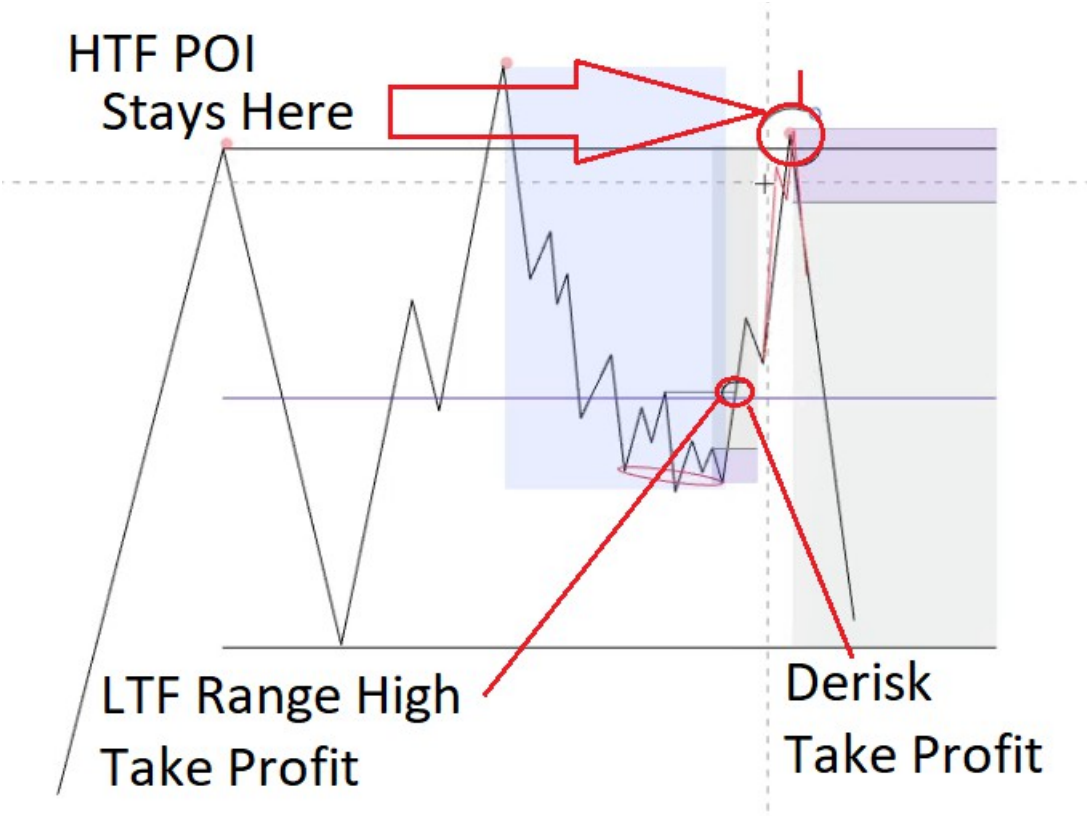
In these two examples we have a TCT Model inside a TCT Model.

1st Example is where we have a HTF TCT Distribution model and inside that Model is a LTF TCT Accumulation Model:

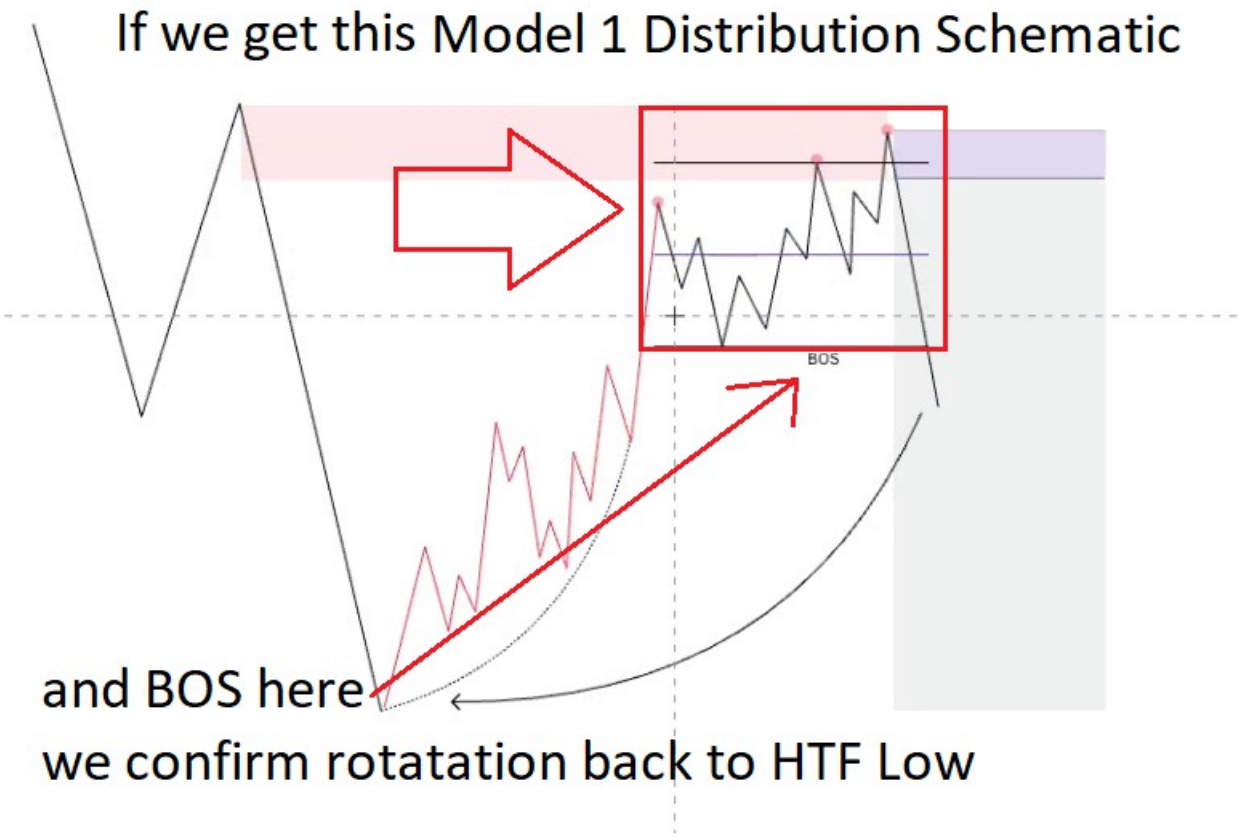


When there is liquidity above the accumulation model forming on the way down of forming my distribution model I will take profits(at LTF range High) and keep my HTF range high as my target for remaining long entry profits.

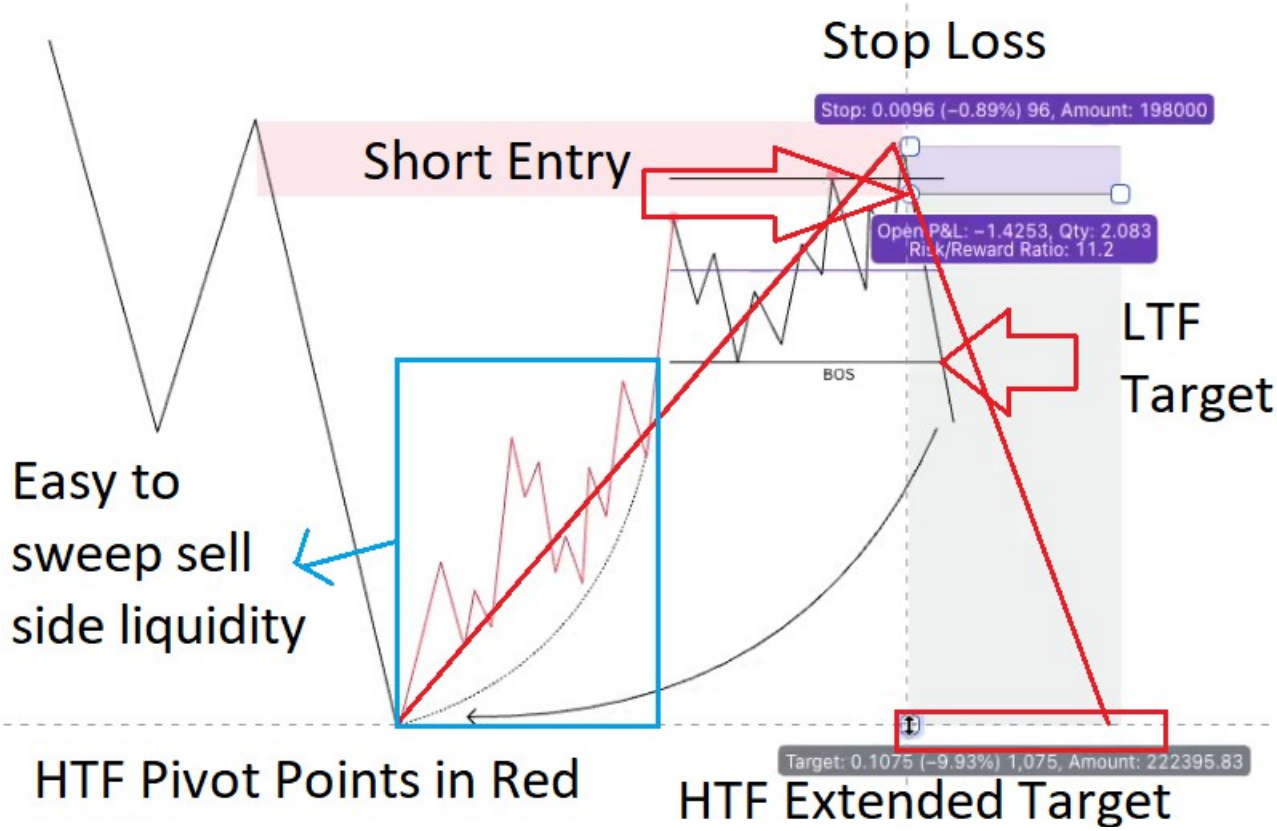




Example 2: Contextually speaking where we are in an important POI where we are expecting macro pivot points. So we can see that price is making lower highs and lower lows and price might be pulling back into that extreme supply that could create the lower high for a lower low as a whole:



If we get the HTF Model 1 Distribution and we get that range break than we confirm that rotation back down to that HTF Low following your Level 1 and Level 2 Break of Structure.



Only taking an extended target here because of the easy to sweep sell side liquidity. If I extend my target to the HTF target I still take profit or trail my stop to break even to be risk free on the LTF target:

In other situations where there is no HTF liquidity below my LTF target than I am taking a minimum of 70% take profit at the LTF technical target and maybe I will leave a 30% runner to hedge that later on. These are my primary rules that I have in place. Therefore also trade management is something you develop overtime with experience in these environments. There will be situations where I will do something different and it will just be based on experience and I will address my reason at that time. It is not something that I can actually teach you here because its different for each individual scenario.